

Small merchants worry that an MDR of 0.40% will hurt them the most, as the margins received by them are low

THE COST OF MDR

A Merchant Discount Rate of 0.4% will be charged on UPI transactions above ₹2,000 with merchants. While MDR backers stress that this will help UPI become sustainable, there are concerns that merchants, especially the smaller ones, may revert to cash payments

BY **NACHIKET KELKAR**